

- In the language of capital market investing, when you are young, you should be “long” mortality risk. If mortality spikes, your dependents get a financial payoff. But, as we shall see later in the book, once you are older, you should go “short” and hedge the risk of a long life. That can be achieved with a pension annuity.
- Later on in life, you reduce the need for life insurance to hedge human capital and mortality risk. You might want to maintain some level of life insurance for estate planning purposes, but that is driven primarily by tax considerations. As you age, the risk management focus should shift to the risk of outliving your wealth.

Endnotes

Some of the material in this chapter is based on the joint research work I did with Aron Gottesman and published in the reference Milevsky and Gottesman (2004). The concept of human capital applied to life insurance was first pioneered by Professor Solomon Huebner at the Wharton School of Business, almost 80 years ago. He called it human life value. For extensive details on the various insurance policies available in the U.S. market, see the book by Baldwin (1994), which provides an in-depth description of their relative merits and benefits. Ostaszewski (2003) delves further into the idea of life insurance as a hedge against a catastrophic loss of human capital. Finally, the recent monograph by Ibbotson, Milevsky, Chen, and Zhu (2007) provides many more case studies and numerical examples, albeit on a more technical level, in which the optimal amount of life insurance is derived and calibrated for given individuals, their risk tolerance, and career characteristics. Much of the work in this chapter is inspired by these references, and I encourage the interested reader to follow up on these sources for more information.